VALUE-ADDED SERVICE (VAS)

A value-added service (VAS) is a term used in telecommunications to describe non-core features. In short, all services beyond basic voice calls and fax transmissions come under the category of VAS or also called enhanced services.

Values Added Services (VAS) in the mobile services sector are used as a tool for differentiation and allows to grow traffic revenues, profit, provide benefits and the development of new markets

They are typically not intended to merely diversify the functionality of the product package, but instead *provide operational and/or administrative synergy among its range of services*.

Value-added services are believed to benefit both customers and service providers, as they not only add product functionality for the end user, but also can source enhanced data and analytics for business use.

The actual pricing structure for value added services generally depend on whether the service provider considers it as an amenity intended to create a stronger rapport with the customers or as a potential source of additional revenue generation.

VAS spurs mobile subscribers to increasingly use their mobile device in order to allow operator to pull up their average revenue per user.

The Mobile Value-Added Services (MVAS) are one of the most important revenue drivers in wireless environments all over the world. However, like any other operator services these MVAS need an underlying platform and infrastructure to deliver the offered features and functionalities. In a mobile telecom operator environment, there are multiple platforms available to support a subscriber facing value added service.

VAS Delivery Platforms

Mobile operators deliver the mobile VAS using any of the following delivery platforms depending on the type of content:

- Short Message Services (SMS)/Short Codes
  They are special form of telephone numbers shorter than ordinary telephone numbers usually four digits for the Kenyan mobile operators. The short codes are mainly used for services such as voting during television (TV) programs, to answer questions and win prizes through TV or radio, ordering ringtones, to apply for jobs, bill notifications and other purposes. The SMS traffic generates revenue for operators and application provider, but the main reason the voting or quiz launched is actually to increase the rating for that TV program.
- Interactive Voice Response (IVR) platform
  It integrates computer and telephony to detect voice and touch tones using a normal phone call. The IVR access to a self-care application related to billing enquiry, top-ups, activation, or deactivation of a network service. For example, 234 and 222 for Safaricom and Airtel customer service respectively.
- Wireless Application Protocol (WAP) and General Packet Radio Service (GPRS).
  This allows internet browsing on WAP enabled or smart phones and include data services like multimedia messaging services (MMS), downloading of music, video, wallpapers and mobile TV and access of mobile social networks such as Facebook and twitter.
- Unstructured Supplementary Services Data (USSD).
  This is a session-oriented service of transmitting information or instructions over mobile network. Mobile banking services in Kenya are deployed using this platform.
- Subscribers Identity Module (SIM) toolkit application (STK)
  It is where mobile money transactions M-PESA, Airtel Money, YU Cash and Orange Money are provided.

Categories of mobile VAS

The category of mobile value-added services depends on its application. Generally, the applications of mobile VAS are divided into the following four categories

- Mobile communication services

  They provide telecommunication services such as short message service (SMS), e-mail, mobile chat and multimedia messaging service (MMS).

  These services are presently the most successful applications of value-added services.

  They are mainly intended to facilitate communication among consumers.
- Mobile entertainment services

  They are defined as any leisure activity made through a personal technology device, which is, or has the potential to be, networked and allows transfer of data (like voice, sound and images) on the move, and on distance with various geographical locations.

  They provide users with entertainment application services, such as the downloading of ringing tones, images, mobile games, mobile videos and other fun and entertaining services.
- Mobile transaction services

  They provide users with business and banking services, such as mobile shopping (m-shopping), mobile banking (m- banking), bill payments (m-payments) and on-line ticketing.

  In a GSM telecommunication environment, the SIM tool kit (STK) card is needed for telecommunications to provide mobile transaction services.
- Mobile information services

  They provide users with prompt information services, such as breaking news, financial news, stock quotes, sport news, bible quotes and other informational needs.

  Significantly, mobile information services can provide users with prompt news delivery. A fee is attached to this service, thereby making it particularly lucrative.

VAS Business Models

A ‘business model’ is defined as the method of doing business by which a company can generate revenue or as the strategy used to generate revenue by specifying markets, products, customers and the position of the business in the value networks.

The users of value-added services access the content through various models.

- Subscription model
  It is where customer signs for the service of interest, the content is delivered and charged until he or she opts out.
- Push model
  It is where content are delivered without request or with indirect request from the user for example mobile advertisement and promotions.
- Pull model
  It is initiated by customer such as browsing mobile internet, mobile banking, bill enquiry and mobile shopping.

On the other hand, the models for value chain are many and work just as in any other industry.

- **Revenue share model** is one, where total revenue is divided amongst the operators, content owners, and service providers according to predetermined percentage.
- **Managed service**, where the service provider delivers all the services and manages the complete platform.
- **Licensed model** where the mobile operator or service provider buys the platform one-off.

The following criteria should be used for selecting VARs for mobile computing:

- Vendor authorization - being authorized by the manufacturer to supply and service a given brand of equipment
- Sales and product training - being able to advise customers as an expert in recommending suitable products to suit their business needs
- Service Training
- Authorized service facility - adequate number of service personnel to meet their sales volume
- Broad product base or clear indication that they represent only a subset of vendor products
- Ability to provide software selection and installation services for the hardware
- Wiring and installation service

- Staying Power - number of years in business or for a new entrant substantial financial backing to have a good probability of staying in business in a couple of years when service needs are greatest
- Good customer service policies for warranty and RMA (return material acceptance) service

Managed VAS bridges the disparate islands of service management by the way of unifying operations under a single service. It enables the automated probes to measure proactively the service performance, which ensures an optimal service quality for end users at the same time maximizing the revenue window of the service provider.

Offering various types of value-added services enables the service operators to stand out of the competition. They provide advantages not only to the service providers but also to the customers. While the customers get something above and beyond their basic requirements; the service providers enjoy an increased rapport with the client, capable of translating into more revenue. Even if these customer services cost some extra bucks to both the sides; they have the potential of significantly enhancing the growth and practicability.

Value Added Services add value to service, enabling the subscriber to use the telephone, particularly the mobile phone or any end user terminal device for a host of purposes like sending short messages, pictures, play games, listen to music, read news headlines, astrology, get flight information, surf Internet and mobile banking including mobile payments

Benefits of VAS

For the consumer:

- Superior service experience
- Improved pricing proposition

For the Service Provider

- Increased service availability
- CAPEX and OPEX reduction
- No leakage of revenue
- Enhanced Customer experience
- Optimized investment/cost
- Enhanced growth of revenue
- Faster time to market
- Bring in a healthy bottom line
- Loyalty Offerings
- Customer insights enabling relevant